

*have lower expected profits in the next period than a less successful trader due to his greater overconfidence. Since overconfidence is generated by success, overconfident traders are not the poorest traders. Their survival in the market is not threatened. Overconfidence does not make traders wealthier, but the process of becoming wealthy can make traders overconfident.*³

DIAGNOSTIC TESTING

This diagnostic quiz can help to detect susceptibility to self-attribution bias.

Self-Attribution Test

Question 1: Suppose you make an investment and it does well, but not for the reason you thought it would. You are feeling good about yourself for making the investment. Which of the following would most accurately describe your feelings:

- a. Your keen eye for a good investment is alive and well.
- b. Even though the investment did well for the wrong reason, it was still a great investment.
- c. Actually, I'm not feeling that great even though I made money because the reason I thought the investment would go up did not occur; I got lucky.

Question 2: When returns to your portfolio increase, to what do you believe the change in performance is mainly due?

- a. Your investment skill.
- b. A combination of investment skill and luck.
- c. Luck.

Question 3: After you make a successful trade, how likely are you to put your profits to work in a quick, subsequent trade, rather than letting the money idle until you're sure you've located another good investment?

- a. When I sell a profitable investment, I usually invest the money again right away because I might be on a hot streak.
- b. I will usually wait until I find something I really like before making a new investment.
- c. Some combination of choices A and B.

Question 4: Relative to other investors, how good an investor are you?

- a. Below average
- b. Average